

HEADLINE JUDGMENT

Score HOLDS at 27/30 for a seventeenth consecutive edition. No channel moved. The largest open fact on the board was closed inside twenty-four hours, and the instrument could not register the closing. **One.** The retaliation was delivered and it is on the FORMAL record. CENTCOM published a release on 1 September — its first of any kind in seventeen days and its first on strikes inside Iran in thirty-four — recording a **wave** against IRGC air-defence, radar, maritime, mine-laying and communications targets. Iran answered the same night against **THREE countries at once**: Jordan, Bahrain and Kuwait. That is a widening of the war's GEOGRAPHY, and the first window in which Bahraini and Kuwaiti authorities have acknowledged engaging incoming Iranian fire. **Two.** Both sides' own accounts are weaker than their claims. CENTCOM published no target list and no damage assessment; asked about civilian casualties its spokesman said only that the US military 'never targets civilians', a non-denial, while the Iranian Red Crescent puts four dead including a child at a wedding in Kuhestak. Jordan's armed forces now concede leakers — **13 engaged, 10 intercepted, 3 fell** — where a day earlier Petra had said eight were intercepted and gave NO launch total. (!) Two attacks, two counting bases; 8 and 13 are not a pair. **Three,** and it is the most consequential thing here for the monitor itself: **the only channel with headroom moved toward its trigger, and the trigger stopped being well-defined.** Brent CO2 closed **\$91.57, +\$3.20**, leaving the **\$95** upgrade **\$3.43** away — the second-narrowest of eleven readings. But the ACTIVE contract closed 35 cents short at **\$94.65** and printed **\$96.64** on Wednesday morning, THROUGH the level. On that live mark the trigger sits BETWEEN the two series, and \$9.36 forbids reading them as one across the 31 August roll. **That is now the largest open methodological problem in this document (\$9.56).** **Four.** A BEAR FLATTENER — the inverse of Monday — took the **2-year to 4.3998%**, a war-high close and its first since 23 July, with the 5-year and 10-year making theirs again. The front end set its record on the day America bombed Iran, and **BE10 carried 3.74 bp of the 10-year's 4.81**: compensation, not real yield. A Fed trade wearing a Gulf jacket. Threshold B held a **THIRD** close at its widest margins — the 30-year leg PROVISIONAL under \$9.35 — and 5y5y went back ABOVE **2.30%**, ending the break. **Sequencing 27 → 27 → 27.** Five of six channels are at the cap. The score could register NEITHER an American strike wave inside Iran NOR an Iranian answer against three countries in one night.

1 · LIVE TAPE

Scoring reference is the 1 September close (Tue); the 2 September row is a Singapore-MORNING mark taken BEFORE the US cash session and moves no channel (A9a). (!) **\$9.35 FIRES on the 30-year**: its 1 September close is IDENTICAL to four decimals to the intraday this document published for that day, so the field is **UNRESOLVED** even though the row around it is demonstrably live (A1.1). \$9.8 and \$9.41 CLEAR. The 2 September US session had not begun at the cut: the Beige Book, the WPSR, the 2 Sep cash-management buyback announcement and any American answer to Tuesday night are **PROSPECTIVE**, not unobtained (\$9.46). Every row below carries the Bloomberg ticker it is drawn from, one row per series; the tickers are taken from the extract's own header scan and are never hardcoded (\$9.4). **No price in this document is taken from the web** — screen quotes for 'Brent' on 1–2 September refer to the ACTIVE contract and are not the scored series. **(W)** on a cell marks a vendor RESTATEMENT — here the 31 August COA restatement, whose four affected prices stay withdrawn. Trigger notes are compressed; full commentary is in ANNEX A1.

1.1 · Energy

Series	BBG ticker	28 Aug	31 Aug	1 Sep close	2 Sep intr.	Trigger note
Brent, front-month listed — scored	CO2 Comdty	88.10	88.37	91.57	93.01	+\$3.20 , the largest one-day rise since 10 August. \$3.43 from the \$95 upgrade, NARROWED from \$6.63 — the ELEVENTH reading and the SECOND-NARROWEST of the war, behind \$3.03 (21 Aug). Seven narrowings in ten transitions. \$19.09 above the \$72.48 downgrade, WIDENED . The scored rule is written on THIS series
Brent, active contract	COA Comdty	88.10 (W)	90.49	94.65	96.64	Closed 35 cents SHORT of \$95 , then went THROUGH it on the 2 Sep mark, \$1.64 above — and it is NOT the scored figure. Basis to CO2 is 2.12, 3.08, 3.63: WIDENING , not stepping, so the roll is clean and this is a real term-structure move. (!) On the live mark the \$95 trigger sits BETWEEN the two series. \$9.36 forbids reading them as one. See §2.1
WTI, front-month listed — scored	CL2 Comdty	81.83	84.06	87.75	89.18	+\$3.69 . The two crude legs moved together this session, unlike 31 August. NO trigger is written on WTI; it is corroboration
WTI, active contract	CLA Comdty	83.40	85.76	90.22	91.86	Basis to CL2 of 1.57, 1.70, 2.47, 2.68 — no sign change, no step, but WIDENING on the same shape as Brent's. Both prompt structures steepened into the strikes
Henry Hub natural gas	NGA Comdty	2.888	2.935	2.904	2.953	-\$0.031. 5.19% BELOW its \$3.063 anchor, WIDENED back out from 4.18% . The control in the experiment turned negative again in one session: American gas did NOT follow American crude
Dutch TTF natural gas	TZTA Comdty	66.979	69.809	72.218	74.685	A NEW WAR-RECORD CLOSE, +€2.409 , taking out €69.809 (31 Aug) — the THIRTEENTH of the war and the SECOND on consecutive sessions. +131.3% vs pre-war. The 2 Sep intraday is higher again and is NOT a record (\$9.31)
Japan/Asia LNG	JGLA Comdty	3,785	3,761	3,785	no print	+24 , the SECOND-highest close of the war, 8 yen off the 3,793 high of 25 August. +126.8% vs pre-war. No 2 Sep print

1.2 · US Treasuries and inflation expectations

Basis points. A **BEAR FLATTENER**, falling monotonically with tenor — the exact inverse of 31 August. Three new war-high closes, and the 2-year's is its first since 23 July. (!) The 30-year leg of that shape is contingent: \$9.35 leaves its close unresolved (A1.1). No trigger is written on the 2-year or the 5-year (\$2.1, A10.2).

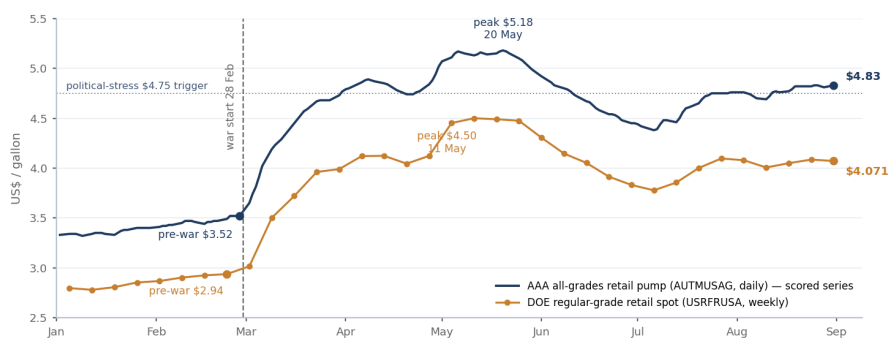
Tenor	BBG ticker	28 Aug	31 Aug	1 Sep close	2 Sep intr.	d/d, bp	Trigger note
2-year	USGG2YR Index	4.3434	4.3415	4.3998	4.4060	+5.83	A NEW WAR-HIGH CLOSE , taking out 4.3470 of 23 July — the only tenor whose prior high still dated from July — and the LARGEST move on the curve. (!) The front end set its record on the day the US bombed Iran. NO trigger is written on the 2-year (\$2.1)
5-year	USGG5YR Index	4.4789	4.5002	4.5551	4.5658	+5.49	A NEW WAR-HIGH CLOSE for a THIRD consecutive session. NO trigger is written on the 5-year
10-year	USGG10YR Index	4.7180	4.7500	4.7981	4.8102	+4.81	A NEW WAR-HIGH CLOSE for a SECOND consecutive session. SATISFIES Threshold B's 4.65% leg by 14.81 bp , its widest of the regime. (!) BE10 carried 3.74 of this 4.81 — compensation, not real yield
30-year	USGG30YR Index	5.2056	5.2423	5.2730	5.2868	+3.07	(!) \$9.35 UNRESOLVED — identical to four decimals to the published 1 Sep intraday, so both this close and its d/d are provisional. The SMALLEST move on the curve as printed. THIRD -highest close of the war (5.3060, 17 Aug; 5.2826, 18 Aug); the ELEVENTH close above 5.24. CLEARs B's 5.20% by 7.30 bp from 4.23. Downgrade leg fails by 27.30 bp , WIDENED from 24.23
2s10s spread	USYC2Y10 Index	37.049	40.635	39.414	40.206	-1.221	A FLATTENING , and it corroborates the curve shape INDEPENDENTLY of the unresolved 30-year. 16.226 bp flatter than the 55.64 anchor. (!) A SEPARATE series, not the difference of the printed generics
10-year breakeven	USGGBE10 Index	2.3179	2.3206	2.3580	2.3588	+3.74	10.11 bp above its 2.2569 anchor, WIDENED sharply from 6.37 — the widest since 8 August. (!) It moved the SAME way as the 5y5y this session, having disagreed on 31 August
5y5y forward breakeven	USGG5Y5Y Index	2.2964	2.2885	2.3110	2.3119	+2.25	(!) BACK ABOVE the 2.30% firing level by 1.10 bp , ENDING the break at two closes — the last edition asked whether a third would come and it did not. 16.90 bp above the 2.142% downgrade anchor, WIDENED from 14.65. \$9.26 no longer engaged here, newly engaged on oil (\$9.56)

1.3 · Cross-asset

Series	BBG ticker	31 Aug	1 Sep close	vs pre-war	Note
Treasury volatility (MOVE)	MOVE Index	75.32	77.88	+4.50 vs 73.38	+2.56, a SECOND consecutive close above 75 and the HIGHEST since 77.92 on 11 August. The Treasury volatility downgrade leg is LOST for a second session and is now moving away rather than lapsing. No 2 Sep print
Equity volatility (VIX)	VIX Index	14.92	16.34	-3.52 vs 19.86	+1.42 — but still 3.52 points BELOW the pre-war anchor. Equities repriced the war on the day of the strikes and remain calmer than before it began. No 2 Sep print
US dollar index	DXY Index	99.428	99.677	+2.07 vs 97.608	+0.249, a third consecutive session of dollar strength into the strikes. (!) The label resolves as DXY Index, NOT DXY Curncy — header scan every edition, never hardcoded (\$9.4)
SOFR overnight rate	SOFRRATE Index	3.68	no print	+0.00 vs 3.68	(!) BACKFILLED at 3.68 for 31 August, which the last edition reported DARK. It is the HIGHEST print since 17 August and exactly on the 27 February SOFR fix of 3.68 (a reference used here but not among A10.1's seventeen anchor fields). Dark again on 1 and 2 Sep. No trigger is written on SOFR
Gasoline, AAA all-grades retail pump — scored	AUTMUSAG Index	4.83	no print	+1.31 vs 3.52	(!) BACKFILLED UP — the last edition reported 31 Aug DARK with \$4.81 (28 Aug) as last resolved. \$4.83 equals the 25–26 August prints and is the joint-highest since 5 June; the war high is \$5.18 (20 May) and this is nowhere near it. 23 cents above the \$4.60 condition and 8 above the \$4.75 that fired the upgrade, and moving AWAY (\$9.30)
Gasoline, DOE regular retail spot — corroboration	USRFRUSA Index	4.071	no print	+1.13 vs ~2.94	(!) BACKFILLED for the 31 August survey at \$4.071 , -1.4c on the 24 August \$4.085 . Weekly, surveyed Monday. The 2 Sep EIA release is PROSPECTIVE

THREE retail series, never compared (\$9.19): AUTMUSAG (scored) last **RESOLVED** at **\$4.83**; USRFRUSA (weekly corroboration) at **\$4.071**; and AAA's own published headline, read direct 2 September on a page stamped 'price as of 9/1/26', at regular **\$4.0954** and diesel **\$5.6325**. (!) AAA's prior-day row reproduces exactly the values this document carried yesterday, so the series rolled cleanly with no restatement. **The two AAA fuels are diverging on the month**: BOTH rose on the day — regular +1.47c and diesel +3.23c — but regular is **DOWN** on the week and on the month while diesel is +27.09c on the month and +\$1.9418 on the year, and sits **18.34 cents** below its all-time record of **\$5.8159** set on 19 June 2022 — four years before this war, and never to be called a war high. Full series and denominators at A1.5.

1.4 · US retail gasoline — the two charted series (of three; see A1.5)



AAA all-grades (AUTMUSAG Index, navy, scored) and DOE regular retail (USRFRUSA Index, amber, weekly, corroboration only); the dotted line marks the **\$4.75** upgrade trigger, NOT the **\$4.60** downgrade condition. The scored series has printed at or above **\$4.75** on every session for which it has printed since 12 August. Both lines now END on 31 August — at **\$4.83** and **\$4.071** respectively, both BACKFILLED this edition — and neither is extrapolated through the dark 1 and 2 September cells.

1.5 · Strait operational — 4-row summary (full record, every provider and denominator, at A1.4)

Strand	State on 2 September	Source
UKMTO / incidents / mines	JMIC UPDATE 092 OBTAINED as a primary PDF , ICOD 011500 UTC. The count MOVED for the first time in three issues: 100 incidents since 1 March , THREE since the last report , against 97 and NIL, and two of the three are NAMED . (!) The mine language is materially UNCHANGED but its TAGGING is not: \$2B still records 'mine danger areas still active' and \$5B continuing clearance, but only \$5B carries the '(No change)' flag where 091 flagged BOTH — a change in presentation, NOT in substance, and not written as one. Threat levels UNCHANGED ; Hormuz SEVERE . Warnings 125-26 onward NOT FOUND on five varied methods (\$9.50); 124-26 remains the highest corroborated anywhere	JMIC 092 primary PDF, read 2 Sep; UKMTO Warnings 120-26 to 124-26
Transits + blockade	JMIC 092 \$4C: 39 US NCAGS-FACILITATED transits over 30–31 Aug (48h) against a stated ~138/day 2025 baseline. (!) Those are DIFFERENT universes ; the only like-for-like reading is against 091's own facilitated count, 19.5/day against 21.7/day , so the facilitated series FELL . Its annex, now SPLIT into cargo and tanker tables, totals SEVEN for the identical 48 hours on a non-facilitated denominator — 39 and 7, one publication, not blended (\$9.24). Kpler via Reuters: ~5 vessels on 31 Aug against its own ~14 average, and NO laden liquid tankers . Lloyd's List: 108 transits 17–23 Aug , +27% w/w, cargo vessels over 10,000 dwt — see the withdrawal at A1.2. (!) CENTCOM's 82 / 3 / 2 is STILL data-dated 29 August — a THIRD edition unchanged, pre-dating both the strike wave and Iran's answer	JMIC 092 \$4C and annex; Kpler via Reuters 1 Sep; Lloyd's List brief 27 Aug
CENTCOM / kinetic	THE RETALIATION WAS DELIVERED AND ANSWERED INSIDE TWELVE HOURS . CENTCOM public release, 1 Sep: a wave against IRGC air-defence, radar, maritime, mine-laying and communications targets from 12:00 EDT — its FIRST formal release in 17 days and first on Iran in 34. (!) NO target list and NO BDA; impact points are Iranian-sourced (Konarak, Bandar Abbas, Qeshm, Jiroft, Kuhestak). Iranian Red Crescent via AFP: four dead including a child at a wedding in Kuhestak; CENTCOM's Capt. Hawkins answered only that the US 'never targets civilians'. Iran answered against JORDAN, BAHRAIN and KUWAIT . Jordan's armed forces, 2 Sep: 13 engaged, 10 intercepted, 3 fell , no casualties — a DIFFERENT attack from 30–31 Aug, never to be merged with its eight. Two US officials to Reuters: NO American casualties, contradicting the IRGC's Camp Titin claim	centcom.mil release 1 Sep; JAF via AFP 2 Sep; Reuters, AFP, ABC, Stars and Stripes 1–2 Sep
Diplomacy + economic war	IRAN PUT THE STRAIT ON THE TABLE ON THE DAY IT WAS BOMBED, AND WASHINGTON REFUSED IT THE SAME NIGHT . Pezeshkian at the SCO summit, 1 Sep: if the US 'returns to its commitments under the aforementioned memorandum... Iran will immediately reciprocate'. Trump to Fox the same evening: an agreement with Iran 'isn't worth the paper it's written on'. Qatar's MFA confirmed it is working with Oman and Pakistan , and that Iran wants a US return to the June MoU BEFORE any temporary route. Against it, Speaker Ghalibaf: Iranian forces remain 'in complete control of the strait and will not allow it to be opened' and ships taking the southern route 'are being targeted' — TIER 3 , recorded and not used to attribute the tanker strikes. (!) NO OFAC action and NO Iran-related Treasury release 29 Aug – 2 Sep; still NO Chinese bank	Reuters, Al Jazeera, ABC, AFP 1–2 Sep; ofac.treasury.gov and home.treasury.gov read direct 2 Sep

2 · US ECONOMIC SHOCK — ANALYSIS WITH BOND YIELDS

2.1 · Bond-yield transmission, channel by channel

MARITIME DENIAL — 5/5, held. The incident count moved for the first time in three issues, and two of the three missing incidents turned out to have names.

(i) The state. The downgrade requires a verified reopening AND traffic above **25%** of normal for ten sessions. Neither leg advanced. JMIC Update 092, ICD 011500 UTC and obtained as a primary PDF, keeps the Strait of Hormuz at **SEVERE** and every other regional threat level unchanged. (!) One presentational change is worth stating precisely because it is easy to over-read: 091 flagged BOTH its mine passages '(No change)', while 092 flags only the clearance passage and leaves the 'mine danger areas still active' sentence untagged. The WORDS are materially the same. That is a change in tagging, not in substance, and nothing is inferred from it. (ii) The count moved, and the reconciliation the last edition could not close has closed itself. 092 records **100 incidents since 1 March and THREE since the last report**, against 97 and NIL. The three are the ones this document was carrying as unreconciled: the **BURGAN**, hit on the starboard aft ballast tank and anchored a mile north-west of Jazirat Um Al Ghanam, which is Warning 122-26 given a name for the first time; the vessel behind Advisory 123-26, which JMIC classes as '**suspected U.S. blockade enforcement**' after a military aircraft put a round in the water alongside it and ordered it to reverse course; and the **SENEGAL PROSPERITY**, struck by three rockets in the engine room and ballast tank, all communications lost, dead in the water, listing to port and **not under command**. (!) A second VLCC, the Saudi-flagged Bahri vessel **SIDR**, was struck minutes earlier per Marisks and Reuters and is NOT separately itemised in the 100. Each had loaded two million barrels of Saudi crude at the Juaymah terminal the previous week. (!) JMIC's date column conflicts with UKMTO's own report times on two of the three; the reading taken here is that JMIC dates the PRODUCT and UKMTO dates the INCIDENT, and both sets are printed rather than reconciled (\$9.24). (iii) The facilitated series FELL. 092 reports 39 US-facilitated transits over the 48 hours of 30–31 August, which is **19.5 a day** against the **21.7** a day implied by the 65 over 72 hours in 091 — on the same denominator, the only like-for-like comparison available anywhere in this record. Its own annex totals seven for the same 48 hours on the non-facilitated denominator, and Kpler has about five on 31 August with **no liquid tankers at all**. The monitor does not average them and does not read a facilitated count as safety: it counts vessels the US Navy is shepherding, which measures escort activity, not a functioning waterway.

OIL PRICE SHOCK — 2/5, held. The channel came within **\$3.43** of its upgrade on the scored series and went through it on the active one. The rule can no longer tell which.

(i) The scored distance. Brent CO2 closed **\$91.57** on 1 September, **+\$3.20** and the largest one-day rise since 10 August, leaving the **\$95** upgrade **\$3.43** away — **NARROWED** from **\$6.63**. The sequence is now 9.78, 8.43, 5.55, 5.21, 3.03, 7.73, 8.06, 6.48, 6.90, 6.63, 3.43: **ELEVEN** readings, **SEVEN** narrowings and three widenings across ten transitions, and **\$3.43** is the **SECOND-NARROWEST** of the war behind **\$3.03** on 21 August. The downgrade leg moved the other way to **\$19.09** above **\$72.48**. (ii) **And here is the problem.** The active contract closed **\$94.65**, just **35 cents** short, and then printed **\$96.64** on Wednesday morning — **THROUGH** the level the rule names and **\$1.64** above it, on the same morning the scored continuation sits **\$1.99** below it. **On the live mark the trigger level sits BETWEEN the two series.** The basis between the two series ran 2.12, 3.08 and 3.63 across three sessions: it is **WIDENING** smoothly rather than stepping, which is the signature of a genuine term-structure move and confirms the 31 August roll was clean (\$9.41 **CLEAR**S). But it means the two series are now more than three and a half dollars apart and diverging, and \$9.36 forbids constructing anything across them. **The trigger says 'Brent above \$95 sustained' and, on the live mark, there are now two defensible answers to whether it is being approached or exceeded.** The rule was written when the basis was exactly zero for twenty sessions and the question did not arise. (!) It is NOT resolved here, and the rule is NOT moved to whichever series would fire it — that is precisely the discipline \$9.26 exists to enforce, and the same discipline that has held the 5y5y rule in place. The channel holds at 2 on the scored continuation. **This is now the largest open methodological problem in the document (\$9.56)**, ahead of the 5y5y gap and ahead of \$9.49, and it will be decided within days rather than weeks. (iii) What moved the price. Both crude legs moved together for once, WTI **+\$3.69** against Brent's **+\$3.20**, on a session whose news was an American strike wave inside Iran and an Iranian answer against three countries. (!) But the American gas leg went the **OTHER** way: Henry Hub fell three cents and its discount to pre-war **WIDENED** back out from **4.18%** to **5.19%**, while TTF set a **thirteenth war-record close** at **+131.3%**. The complex is still pricing a chokepoint rather than a shortage, and the divergence between the two gas markets is the cleanest evidence in this document that it is doing so.

US INFLATION IMPULSE — 5/5, held. The trigger came back, and it came back on the war rather than on the Fed.

(i) The break ended at two. The 5y5y forward closed **2.3110%** on 1 September, **+2.25 bp** and back **ABOVE** the **2.30%** level whose sustained break fired this channel 4→5 on 31 July. The last edition asked directly whether a third consecutive close below **2.30%** would come. **It did not.** The break stands at two closes, 28 and 31 August, and joins the one-session breaks of 13 and 25 August as an episode rather than a regime. (ii) The score holds and the rule was never moved, which is the point. Had this document redefined the downgrade to the firing level during the two-close break — the thing \$9.26 forbids and the thing the last two editions were under most pressure to do — it would now be unwinding that change. The documented downgrade remains a sustained close at or below the **2.142%** pre-war anchor, and the distance **WIDENED** to **16.90 bp** from 14.65. (!) BE10 moved the **SAME** way this session, **+3.74 bp** to **10.11 bp** above its own anchor, having disagreed with the 5y5y on 31 August. The two compensation measures agreeing is a stronger reading than either alone. (iii) And the composition changed. On 28 August the Treasury selloff was real yield outright — BE10 **FELL** while nominals rose — and on 31 August compensation contributed only **0.27 bp** of the 10-year's 3.20. On 1 September **BE10 carried 3.74 basis points of the 10-year's 4.81**, leaving barely a basis point of real yield. That is compensation rather than real yield — the residual on a nominal, which is not the same thing as term premium and is not called that — and it arrived on the session the United States bombed Iran and Iran answered against three countries. The physical impulse behind it is undiminished and pointing the same way — TTF at a war-record close, Asia LNG **+126.8%**, diesel **+\$1.9418** year on year and now decoupled from gasoline. (!) The honest statement is that this channel spent two sessions scored at its maximum on a trigger that had failed, and is no longer in that position. It was not rescued by a rule change.

TREASURY STRESS — 5/5, held. Three war-high closes, a war high at the front end for the first time since July, and a 30-year the integrity test will not certify.

(i) \$9.35 fires, and it fires on the leg that matters. The 30-year's 1 September close of **5.2730%** is IDENTICAL to four decimal places to the intraday this document published for 1 September. Under \$9.35 that field is **UNRESOLVED** regardless of the row around it — and the row is demonstrably live, since thirteen of fourteen scored fields moved and MOVE, VIX and Asia LNG all printed where the snapshot was blank. So the 30-year close, its **+3.07 bp** change and Threshold B's **7.30 bp** margin are all published as PROVISIONAL. (!) The CONCLUSION is nonetheless bounded and safe: whatever the true close, the 2 September intraday prints **5.2868%**, so the 30-year clears B's **5.20%** on both the possibly-stale close and the live mark. What is genuinely contingent is the CURVE SHAPE — if the true close is higher, the flattener is less pronounced at the long end than printed. The front of it is not contingent: 2-year **+5.83**, 5-year **+5.49**, 10-year **+4.81** is monotonic on three clean fields, and the 2s10s series confirms the flattening independently at **-1.221**. (ii) The war highs, and one is new in kind. The 2-year closed **4.3998%**, taking out **4.3470%** of 23 July: **its first war-high close since 23 July**, and the largest move on the curve. The 5-year made its THIRD consecutive war-high close and the 10-year its second. (!) The front end setting its record on the day American forces bombed Iran is the single most counter-intuitive fact in this edition, and it is not a Gulf trade — it is the Fed. Barr was REPORTED as telling an audience the same day that the Board should be prepared to raise if inflation does not subside — only the dovish conditional is available verbatim (A2.3.1) — Polymarket's September board has a 25 bp hike at **56.5%** against a hold at **42.5%**, the hike having gained **23 points in a week**. (iii) The downgrade is further away on both legs and \$9.15 does not fire for a FOURTH consecutive session. MOVE closed **77.88**, +2.56, a SECOND consecutive close above 75 and the highest since **77.92** on 11 August, so the volatility leg is not merely lost but moving away; the yield leg widened from 24.23 to **27.30 bp** — **PROVISIONAL**, since it is computed on the \$9.35-unresolved close. Both legs deteriorated together for the fourth session running — the FIFTH occurrence of that third state and its FOURTH consecutive one. (!) US-inflation is STILL the nearer of the two market downgrade candidates but the gap NARROWED for the first time in three editions, to **16.90** against **27.30** from 14.65 against 24.23: both moved away, and Treasury moved away faster. (!) The Treasury half of that comparison rests on the \$9.35-unresolved 30-year and is **PROVISIONAL**; the ORDERING is not, because 16.90 is nearer than 24.23 on either reading. The ordering has not changed since 26 August.

POLITICAL STRESS — 5/5, held. The scored series backfilled UP to the top of its recent range, and the two retail fuels have come apart.

(i) The state is RESOLVED and it moved the wrong way for a downgrade. AUTMUSAG's 31 August cell, reported DARK yesterday, has printed at **\$4.83** — two cents ABOVE the **\$4.81** this document was carrying as last resolved, and equal to the **\$4.83** of 25–26 August, the joint-highest print since 5 June. (!) It is NOT a war high — **\$5.18** on 20 May stands — and calling it one would be exactly the unsorted superlative \$9.32 forbids. It did not print on 1 or 2 September. The last resolved value is therefore **\$4.83**, **23 cents** above the named **\$4.60** downgrade condition and 8 above the **\$4.75** that fired the upgrade. (!) \$9.10 is vindicated a THIRD time and in the opposite direction to the last: 14 August backfilled UP and destroyed a downgrade case, 1 September backfilled DOWN by a cent, and this one backfilled UP to the top of its recent range. Three backfills, three directions, none predictable from the run — which is exactly why \$9.30 forbids reading a trend through dark cells. DOE's weekly series also backfilled, at **\$4.071** for the 31 August survey, 1.4 cents BELOW the 24 August **\$4.085**. (!) The two backfills point OPPOSITE ways on the same week. Neither is the other's check; they are different surveys of different products (\$9.19). (ii) The corroborating series has decoupled, and that is the new information. AAA's own page, read 2 September and stamped 'price as of 9/1/26', has regular at **\$4.0954** and diesel at **\$5.6325**. Regular is DOWN 0.15 cents on the week and 0.59 on the month. Diesel is UP **3.23 cents** on the day, **1.26** on the week and **27.09** on the month. (!) The prior-day row on that page reproduces exactly what this document published yesterday, so the series rolled cleanly and no restatement occurred. Diesel now sits **18.34 cents** below its all-time record of **\$5.8159** of 19 June 2022 — four years before this war, and never to be described as a war high (\$9.32). (iii) The political instrument produced nothing. The President met nearly a dozen refiners and distributors with the Interior and Energy Secretaries on 1 September, closed to press, on refining capacity and pass-through. **NO readout, NO deliverable and NO announced measure** could be obtained from eight outlets. Specifically: no SPR release, no export restriction and no price control. It is recorded because a policy response to the pump is the transmission this channel exists to detect, and because an announced meeting that produces nothing is itself a reading.

ESCALATION RISK — 5/5, held. America struck Iran, Iran struck three countries back, and the score moved by zero points.

(i) What happened. The downgrade requires a mediated stand-down and resumed talks. Instead, at 12:00 EDT on 1 September, CENTCOM executed the wave Trump had promised on 31 August, and published it: IRGC air-defence, radar, maritime, mine-laying and communications targets. Iran answered within hours against Jordan, Bahrain and Kuwait, with the IRGC spokesman saying Iran 'will no longer exercise restraint regarding Bahrain and Kuwait'. Jordan's armed forces put the answer on the record at **13 engaged, 10 intercepted and 3 fallen**. (ii) The scale is saturated and this is the sharpest case of \$9.7 the war has produced. Escalation has been at 5/5 since 9 July. The delivery of a promised American strike wave inside Iran, the breaking of a seventeen-day silence in CENTCOM's formal record and a thirty-four-day one on strikes inside Iran, an Iranian answer against three countries in one night, the first Bahraini and Kuwaiti air-defence engagements of the war to be officially acknowledged, and four Iranian civilians reported killed at a wedding, together move the total by ZERO. (!) A flat 27 does not mean a stable week. It means the instrument is at its stop, and the only channel that could move needs a rule this edition has just had to declare ill-defined. (iii) Three disciplines applied. The IRGC's Camp Titin and Prince Hassan casualty claims are Tier 3 and contradicted by two US officials to Reuters. (!) The JAF's 'no casualties' does NOT reach them: it speaks to Jordanian casualties, not American ones, and the contradiction rests on a single outlet. They are not used. The 30–31 August Jordan attack and the 1–2 September one are **DIFFERENT EVENTS** on different counting bases — eight INTERCEPTED with no launch total from Petra, and ten intercepted of thirteen ENGAGED — and any running total that merges them is wrong (\$9.13). And against under-reading: Iran offered reciprocity at the SCO on the day it was bombed, Qatar is mediating with Oman and Pakistan, and the exchange as executed was BOUNDED — one wave each, both sides declaring it complete. That restraint is real and is why the full-war line moves ten points and not thirty.

2.2 · Stage-4 thresholds

	Test	State on the 1 September close, with events to 2 September
A	A failed coupon auction: a clearing yield with a tail above the 1pm when-issued level	UNTESTABLE AS WRITTEN, THEREFORE NOT ARMED ON THE RECORD (\$9.39) — the test needs a when-issued level Treasury does not publish, so it cannot RETURN a state and is carried as unarmed rather than as satisfied. NO coupon auction CLEARED in the window. Treasury auctioned 4-, 6-, 8-, 17- and 52-week BILLS on 1 September, which are not a Threshold A input, and their results were NOT RETRIEVED — TreasuryDirect serves them from a client-rendered page (\$9.50). The five-auction primary-dealer run on competitive-accepted is unchanged at 12.34, 2.09, 10.90, 10.05 and 12.264, and 12.264% remains the SECOND-highest of those five. (!) OPEN FOR A THIRD CONSECUTIVE EDITION: Treasury release SB0607 of 19 August promised an updated tentative buyback schedule for the \$2bn→\$4bn regime that starts 9 SEPTEMBER . The live schedule PDF is STILL stamped 5 August , with the 10 September operation STILL capped at \$2 billion . Seven days out, the operating calendar for the announced regime has NOT been published on the canonical page, re-fetched this edition. (!) Two CASH-MANAGEMENT buybacks of up to \$12.5bn sit on the same schedule and are a DIFFERENT instrument; A2.3.4
B	30-year above 5.20% WITH 10-year above 4.65%	ARMED, and it HELD a THIRD close at the WIDEST margins of the regime . 30-year 5.2730% clearing by 7.30 bp , from 4.23 and 0.56; 10-year 4.7981% clearing by 14.81 bp , from 10.00 and 6.80. Both legs widened for a second consecutive session. The ordinals are UNCHANGED and this is NOT a new state: SIX armings and FIVE lapses, ELEVEN states (six armed, five lapsed) and TEN changes between them since 29 July. (!) \$9.35 QUALIFIES THE 30-YEAR LEG : that close is identical to four decimals to the published intraday and is UNRESOLVED , so the 7.30 bp margin is provisional. The CONCLUSION is bounded — the 2 September intraday of 5.2868% clears by 8.68 bp, so B is satisfied on both the questioned close and the live mark. (!) \$9.49 — the recorded DEFECT — stays OPEN, and \$9.51, the rule for how to record it, is what governs the entry : B has now been met by a bear flattener, a bear steepener and a second bear flattener, which is the non-discrimination the original complaint named
C	MOVE above 130	NOT ARMED. 77.88 — 52.12 points below C and 37.14 below the 115.02 war high of 26 March. But it is the HIGHEST close since 77.92 on 11 August and the SECOND consecutive close above 75, so the Treasury volatility downgrade leg is now moving AWAY rather than lapsing. (!) The two anchor deviations continue to be reported SEPARATELY, as retired-not-updated on 1 September: volatility is 4.50 points ABOVE its 73.38 anchor and the 30-year 66.24 bp ABOVE its own — that second figure PROVISIONAL under \$9.35 — both on the same side for a second session. No composite is constructed. The month-long anomaly of a fully normalised expectation of movement around an un-normalised yield is now closed on both halves, and it closed because volatility rose to meet the yield

2.3 · Cross-asset macro record — compressed

The 1 September session was **BOTH**, and for once the two halves are separable. The Gulf half is the strike wave and the three-country answer. The Fed half is Governor **Barr**, a voting member, reported as saying the Board should be prepared to raise if inflation does not subside — though (!) the only VERBATIM available is the dovish conditional, and his own coverage calls him noncommittal. He named **payrolls and CPI** as his conditions. **The evidence that the Fed half dominated is the SHAPE**: the 2-year made the largest move on the curve and its first war-high close since 23 July, which no Gulf event explains. **Three pricing instruments, three universes, never averaged** (\$9.24). **POLYMARKET WAS OBTAINED and \$9.50 is DISCHARGED** — the JS-rendered page was driven in a browser to recover the event slug, then read through the structured API: a 25 bp hike at **56.5%** against a hold at **42.5%**, the hike **+23 points on the week**. CME FedWatch was **NOT OBTAINED** (a QuikStrike iframe exposing no text even to a browser read); its nearest dated figure is **66%** on 31 August. Kalshi's last board is **26 August** and is published only as the pre-Jackson-Hole marker. (!) No trend is read across the three — 33, then 66, then 56.5 is not even monotone — and the only clean direction is WITHIN one instrument. **The US data cut against the hawks and lost**. ISM was **54.6**, down 1.0, new orders **53.7**; JOLTS openings **7.271m** against a 7.33–7.36m consensus with June revised DOWN 177,000; construction spending **–0.5%**. All three were soft on the day and the 2-year still made a war high. GDPNow is reported at **4.8%** on a single aggregator and is carried **UNRESOLVED**. The Beige Book (2 Sep 14:00 ET), Waller (3 Sep, the last Board slot before the 5–17 September blackout) and payrolls (4 Sep) are **PROSPECTIVE**. The full macro record, the Treasury-supply internals, the war-powers schedule and the SPR conflict are at ANNEX A2.3.

3 · SHOCK SCORE

27 / 30 — CRISIS band (22–30). Held for a seventeenth consecutive edition. No channel moved. Rationales are trimmed to the two-document format; \$2.1 carries the detail and A10.2 the full trigger state.

Channel	Score	Basis on the 1 September close	Distance to a change
1 · Maritime denial	5	JMIC 092 moves the count to 100 , +3, naming two of three. Hormuz stays SEVERE	At the cap. Reopening leg unmoved; the facilitated rate FELL to 19.5/day from 21.7 on the only like-for-like comparison
2 · Oil price shock	2	Brent CO2 \$91.57, +\$3.20 ; WTI +\$3.69 . TTF a thirteenth war-record close ; Henry Hub's discount WIDENED to 5.19%	\$3.43 below the \$95 upgrade, SECOND-NARROWEST of eleven. (!) The ACTIVE contract went THROUGH \$95 on the 2 Sep mark; \$9.56
3 · US inflation impulse	5	5y5y 2.3110% , +2.25 bp and BACK ABOVE the 2.30% that fired the upgrade, ending the break at two	16.90 bp above the 2.142% anchor, WIDENED from 14.65. Still the nearer candidate, 16.90 against 27.30
4 · Treasury stress	5	A BEAR FLATTENER : 2-year 4.3998% , a war-high close, its first since 23 July ; 5s and 10s war highs again; 30-year UNRESOLVED (\$9.35). MOVE 77.88	BOTH LEGS FURTHER AWAY. Volatility LOST a second close and rising; yield leg WIDENED to 27.30 bp from 24.23 — PROVISIONAL (\$9.35)
5 · Political stress	5	AUTMUSAG backfilled UP to \$4.83 for 31 Aug — joint-highest since 5 June, NOT a war high — then DARK. AAA diesel \$5.6325, +27.09c m/m	23 cents above the \$4.60 condition and moving AWAY
6 · Escalation risk	5	CENTCOM delivered the promised wave inside Iran and published it; Iran answered against Jordan, Bahrain and Kuwait	At the cap. Against it: reciprocity offered at the SCO the same day; the exchange BOUNDED at one wave each

Read the composition, not the total (\$9.7, \$9.27). Five of six channels are at the ceiling, so the score cannot register the delivery of a promised American strike wave inside Iran, the breaking of a seventeen-day silence in CENTCOM's formal record and a thirty-four-day one on strikes inside Iran, an Iranian answer against three countries in one night, or a thirteenth war-record TTF close. It equally cannot register what cut the other way: the exchange was bounded at one wave each with both sides declaring it complete, no MILITARY casualties on either side's official account, against four Iranian civilians reported killed at Kuhestak, and an Iranian reciprocity offer made on the day Iran was bombed. (!) The sixth channel — the only one with headroom — is this edition **\$3.43** from moving on the scored series, while on Wednesday's mark the trigger sits BETWEEN that series and the active contract. A flat 27 is an instrument at its stop, and the one dial still free has just been found to be ambiguously calibrated.

4 · WHAT HAS CHANGED SINCE THE 1 SEPTEMBER EDITION

#	Change	Significance
1	The promised American retaliation was DELIVERED and put on the formal record. CENTCOM published a release on 1 September recording a wave against IRGC air-defence, radar, maritime, mine-laying and communications targets from 12:00 EDT — its first release of any kind in 17 days and first on Iran in 34	The largest open fact in the last edition, RESOLVED. (!) But no target list and no BDA were published, impact points are Iranian-sourced, and the sole casualty figures are Iranian — four dead including a child at Kuhestak, per the Red Crescent via AFP
2	Iran answered against THREE countries in one night — Jordan, Bahrain and Kuwait — the IRGC spokesman having said Iran 'will no longer exercise restraint regarding Bahrain and Kuwait'. Both states confirmed air defences engaged	A widening of the war's GEOGRAPHY , not its intensity, and the first acknowledged Bahraini and Kuwaiti engagements of the war — why regional relapse rises again on a STRONGER basis than last edition's denied UAE claim
3	Jordan's own account changed shape: 13 engaged, 10 intercepted, 3 fell in remote areas , no casualties — where a day earlier Petra had said eight were intercepted and gave no launch total	(!) TWO DIFFERENT ATTACKS, and any running total merging them is wrong (\$9.13). The significance is that the JAF now concedes leakers in its own words, which no source but ABC's two Jordanian security officers had said of the earlier salvo
4	The oil channel came within \$3.43 of its upgrade on the scored series and went THROUGH the level on the active one. Brent CO2 \$91.57, +\$3.20 ; COA \$94.65 at the close — 35c short — and \$96.64 Wednesday morning, THROUGH it; the basis ran 2.12, 3.08, 3.63	THE LARGEST OPEN METHODOLOGICAL PROBLEM IN THIS DOCUMENT (\$9.56) , ahead of the 5y5y gap and \$9.49. The rule was written when the basis was zero for twenty sessions. It is NOT resolved, and NOT moved to whichever series would fire it (\$9.26)
5	Three war-high Treasury closes, and the 2-year's is its FIRST since 23 July. A BEAR FLATTENER falling monotonically with tenor: 2-year +5.83 to 4.3998% , 5-year +5.49 , 10-year +4.81 , 30-year +3.07 as printed	The front end set its record on the day America bombed Iran, which no Gulf event explains. (!) BE10 carried 3.74 bp of the 10-year's 4.81 — compensation, not real yield. A Fed trade wearing a Gulf jacket
6	(!) \$9.35 FIRES on the 30-year: its 1 September close of 5.2730% is identical to four decimals to the intraday this document published for that day, so the close, its d/d and Threshold B's margin are PROVISIONAL	The row is demonstrably live — 13 of 14 fields moved — which is exactly the case \$9.35 was written for after \$9.25 cost a war high. The conclusion is bounded: the 2 Sep mark of 5.2868% clears B independently
7	5y5y went BACK ABOVE 2.30% at 2.3110% , ending the two-close break, and the trigger question the last edition flagged is answered in the negative. AUTMUSAG backfilled UP to \$4.83 , the joint-highest since 5 June	Vindication of not moving the rule. Had the downgrade been redefined to the firing level during the break — which \$9.26 forbids — this edition would be unwinding it
8	JMIC 092 landed, the count moved to 100 and two of the three missing incidents have names: BURGAN and SENEGAL PROSPERITY, with the third classed as suspected US blockade enforcement and its name withheld — not under command. A second VLCC, the Saudi SIDR , is reported struck and is NOT in the 100	A reconciliation the last edition could not close, closed by the issuer. (!) The blockade tally 82 / 3 / 2 is STILL data-dated 29 August in a 1 September product — a THIRD edition unchanged, pre-dating both the strike wave and the answer

5 · SCENARIO MAP

Scenario	Prob.	Content	Shift and why
Deal collapse on terms	34%	The corridor framework exists on paper and dies over geometry, fees and sovereignty; the blockade and the counter-blockade both continue	–6. (!) At 34 against 33 the top two lines are a TIE within the resolution of this method , and the one-point margin is not a lead; it is reported that way everywhere in this edition. (!) Two things that happened on the same day pull it apart: Pezeshkian offered reciprocity at the SCO, and Trump answered that an agreement 'isn't worth the paper it's written on'. A framework needs a counterparty willing to sign one
Return to full war	33%	Sustained US or Israeli strike campaign inside Iran with Iranian reprisals against US bases and Gulf infrastructure	+10, the largest single-edition move of the war, bringing the top two lines to a TIE. A published American strike WAVE inside Iran, an Iranian answer against three countries, and the HASC chairman after a CENTCOM briefing saying 'they've got a plan' and that he would anticipate intensification. (!) +10 and not more because the exchange was BOUNDED at one wave each

Scenario	Prob.	Content	Shift and why
Contained but violent	14%	The present state persists: blockade, counter-blockade, periodic strikes on shipping, no reopening and no general war	–7, the largest cut of the war and its lowest reading. It survived the Larak strike because that was one launcher site; it does not survive a published multi-target wave answered against three countries. It still describes the MARITIME record but no longer the state-on-state one
Regional relapse	16%	The war widens to Gulf states directly — UAE, Saudi, Bahraini, Kuwaiti or Qatari territory or infrastructure struck	+3, and on a STRONGER basis than last edition's +4. Bahraini and Kuwaiti authorities each confirmed engaging incoming Iranian fire in their own airspace, and the IRGC named both in advance. (!) Those confirmations reach this document as TIER 2 wire relays of officials, NOT as primary statements — still stronger than last edition's basis, which was an Iranian claim the UAE DENIED
Mediated pause	3%	A verified stand-down, resumed talks and a reopening on published terms	UNCHANGED at the lowest reading of the war, and the flat line hides two offsetting facts. FOR: Pezeshkian offered reciprocity on the record; Qatar is mediating with Oman and Pakistan. AGAINST: Trump refused it the same evening, and no talks are scheduled by any party

Sums to 100. **Deal collapse and full war together carry 67%, UP from 63%**, and the three lines involving continued or widening violence carry **63%, UP from 57%**. (!) The structural change is that the top two lines are separated by ONE POINT: 34 against 33 is inside the resolution of this method, and it is stated as a TIE rather than a lead throughout. The weight behind each shift is named and stated at the tier it carries. Full war and contained-but-violent move on **TIER 1** facts — CENTCOM's own release and the Jordanian armed forces' own count — with Rogers' 'they've got a plan' alongside at **TIER 2**. Regional relapse moves on the Bahraini and Kuwaiti engagements, **TIER 2** relays of officials rather than primary statements, still stronger than the denied UAE claim that moved it last edition. The IRGC's Camp Titin and Prince Hassan casualty claims carry NO weight anywhere. **The reading turns on whether Tuesday was a transaction or an opening.** If a second American wave follows inside a week, full war becomes modal outright; if none follows, this reading is at the top of its range.

6 · WATCHLIST · NEXT 24–72 HOURS

#	Watch item	Why it matters
1	Whether a SECOND American wave follows and whether Iran answers again. CENTCOM called Tuesday a 'wave'; Rogers said after Cooper's briefing that 'they've got a plan'	It decides whether Tuesday was a transaction or an opening , and it is the difference between a full-war line tied at the top and one clear of it. Both capitals have demonstrated they will strike and stop; neither has demonstrated it will stop twice
2	Whether Brent CO2 closes above \$95 — and, if the active contract keeps running ahead of it, how the trigger is to be read at all. On the 2 September mark COA is \$1.64 through the level while CO2 is \$1.99 below it, with the basis at 3.63 and widening	The largest open methodological problem in this document (\$9.56). An upgrade on one series and not the other is not a defensible published state, and \$9.26 forbids resolving it toward whichever series fires
3	Whether the 30-year prints a value distinguishable from 5.2730% on the next close, resolving the \$9.35 flag, and whether MOVE holds above 75 a third time	Threshold B's 7.30 bp margin and the 30-year leg of the bear flattener are provisional until it does. (!) The conclusion is already bounded by the 2 Sep mark, so this resolves a FIGURE, not a finding
4	The 2 Sep Beige Book at 14:00 ET and the 2 Sep WPSR; Waller at Reuters on 3 Sep; payrolls 4 Sep — all PROSPECTIVE at the cut	Barr named payrolls and CPI as his conditions and the 2-year made a war-high close the same day. Waller is the LAST Board slot before the 5–17 September blackout. The WPSR is the next chance at the SPR conflict
5	The 8 September War Powers expiry into a Senate that does not return until 14 Sep; the STILL-unpublished buyback schedule seven days before the \$4bn regime starts 9 Sep; the general licences winding down 8 Sep; VRA No. 5 on 4 Sep; OPEC+ 6 Sep	Five dated events inside a week. (!) The buyback gap is THREE editions old, re-verified against the live PDF — still stamped 5 August, the 10 September operation still capped at \$2bn . A statutory expiry arrives six days before the chamber that would act can act

The **SOURCE LOG (A7)**, the **UPDATE PROTOCOL (A8)** and the **METHODOLOGY (A9)** are not printed in the edition — they are carried in the companion ANNEX for 2 September 2026, together with A1 (full tape commentary and the reconciliation), A2.3 (the full macro record, the war-powers schedule and the SPR conflict) and A10 (anchor and trigger levels).